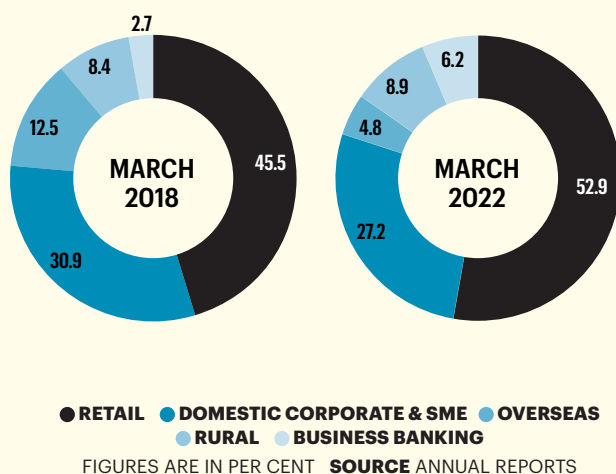
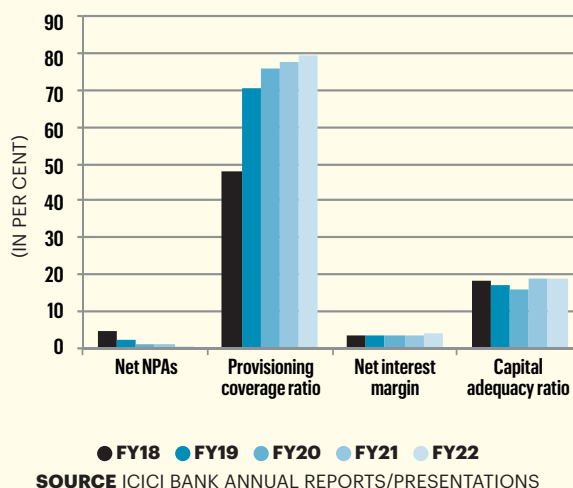


3. Maintaining a balanced loan portfolio mix



4. Building a strong balance sheet



loan mix. In addition, iMobile Pay, the bank's front-end mobile app that has 330 features, is also attracting non-bank customers. ICICI Bank mines this data to cross-sell products. Today, payment services, accounts and cards services are the top use-cases for the bank's customers, while non-bank customers use the app for UPI, payment services, etc. Till December 2022, 8.7 million non-ICICI Bank customers had registered and explored the iMobile Pay app.

Meanwhile, personal loans, the second-largest contributor to the retail business with a share of 14.7 per cent and a loan book of ₹74,335 crore, is growing at a fast clip. And credit cards—with a share of 6.6 per cent of its retail loans mix and a card base of 10 million—is expanding by using a co-branded model with retail giant Amazon's Amazon Pay and travel portal MakeMyTrip.

Another thrust area is large corporates. The bank offers more than 20 industry-specific digital solutions that are tailored to the needs of corporate clients. This includes digital banking solutions, channel partners, dealers, vendors, employees; and curated services for

promoters and the senior management. It also offers 360-degree coverage for corporations by offering solutions like supply chain management, export-related requirements, treasury management, etc.

The Future

ICICI Bank expects its tech spends to stay high in the near future. "You can't survive in the current digital phase without technology," says Batra. What else is in store? "We are working on lightening [the load of] the core banking solution (CBS)," he says. For instance, if a customer wants a bank statement, there will be no need for it to be routed through the CBS. Batra adds that the next-generation delivery model demands more real-time intelligence about the customer.

"We are shifting from product-centric IT architecture to a customer-centric one. At the back-end, we are working towards a single view of a consumer across financial relationships to execute real-time data analytics," he explains. The other piece is start-ups. The bank is following a partnership model by investing in start-ups; it has invested in 19 start-ups so far.

In the past, ICICI Bank had seen higher NPAs due to its exposure to corporate loans; but the mix is skewed towards retail now. "The retail loan book is secured as it is based on proprietary data, in addition to bureau checks and well-priced in relation to risk," says Jitendra Upadhyay, Senior Equity Analyst at Bonanza Portfolio Management, which offers portfolio management services. Under retail, the unsecured loans are steadily rising. "The higher diversification within retail and strong underwriting ensure that delinquencies are kept to a minimum," says Ajit Kabi, Banking Analyst at LKP Securities, a financial services firm.

Investors are making the most of ICICI Bank's turnaround. Financial services firm Elara Securities says that even now, of all lenders, ICICI Bank has the highest manoeuvrability potential to sustain steady earnings momentum in the case of exigencies. "The bank is still under a growth phase...We believe there is still scope for higher valuation," says Kabi of LKP Securities. That is certainly music to investors' ears. **BT**

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